

Flexicap investing: Diverse allocation for healthy long-term portfolio performance



Rajakarthykeyan S
Director & Co-founder
GRAVIK Investment Services Pvt Ltd

The market volatility over the past 15-16 months has been marked by worsening of global factors (trade tariffs, central bank actions, geopolitical tensions, cross-currency declines etc.) but an improving domestic scenario (GDP growth, inflation, demand revival, corporate earnings pick-up etc.). While large caps continue to be reasonably valued, thanks to continuous corrections in the broader markets, there are pockets of comfort emerging even in mid and small cap segments.

An investing approach for the current environment and indeed for the long term would be to remain flexible and position yourselves smartly across market capitalisations, with an eye on valuations. But for flexicap style of investing to work, it is necessary to follow a systematic process with a defined set of steps to zero in on the right opportunities, which is why mutual funds offer the best mode of flexicap investing for retail investors.

A smart flexicap style ensures a diversified portfolio, suitable risk mitigation to holdings and ensures healthy long-term performance over different market cycles.

Market factors and flexibility

In order to build a flexible portfolio, it is important to first put valuations, business cycles, triggers and sentiments in the right perspective for smart decision making. Now, market valuations measured with price-to-earnings or price to book multiples helps us measure whether markets are cheap or expensive based on the ratios. Lower valuations signal buying opportunities and higher multiples suggest selling of holdings.

Valuations are currently in the neutral zone – Nifty 500 at a PE of over 24 times. Business cycle is gauged via metrics such as credit growth and capacity utilisation. RBI's data on factory utilisation indicates around 75% levels for Q2 2025-26. Credit growth has gone north of 12% by the end of 2025. These points suggest a neutral reading for the business cycle phase. Weak business cycles provide buying opportunities, while at the peak of a strong cycle, there are selling signals. Triggers are events that chart the course of the market's trajectory. These include negative ones such as geopolitical tensions, trade tariffs etc., all of which are at play currently, while positive triggers currently in place are demand revival and corporate earnings growth.

Finally, there are sentiments help us understand investors' attitude towards the markets. For example, even as FPIs continuously sell in the cash markets, DIIs have been (net) buying steadily

across market levels over the past 15 months.

So, when markets have negative triggers and turn volatile, large caps lend stability to the portfolio with their ability to navigate a tough macro environment. If positive triggers are in place, mid and small caps with sound potential can turn out to be multi-baggers due to their re-rating potential.

Ensuring right processes

A flexi Cap approach will ensure dextrous moves across large, mid and small caps with valuations playing a key role, with other factors helping fine-tune opportunities. Hence, flexicap portfolios can act as good compounders over the long term with relatively moderate risks. Large cap stock selection would typically involve a top-down approach, while vetting opportunities in the mid and small cap spaces would involve a bottom-up style. In addition to regular valuation metrics and business analysis, mid and small caps would also have to be assessed for management track records.

The portfolio has to be rebalanced periodically and on a dynamic basis. Care must be taken to avoid too much stock concentration. Macro indicators such as current/fiscal deficit, inflation, tax revenues, GDP growth, interest rates and global factors are also to be incorporated into the decision-making process.

A flexicap mutual fund structure, managed by experienced professionals following a disciplined process, is well placed to execute such an investment style consistently over market cycles.